

**Time:** 5 minutes**Outcome:** Interpret movements along the short-run inflation-unemployment tradeoff.**Difficulty:** ●●○ Intermediate

Short-Run Phillips Curve



THE CORE IDEA

The short-run Phillips curve shows an inverse relationship between inflation and unemployment when expected inflation is fixed. With expected inflation initially fixed, a demand change moves the economy along the current SRPC. The LRPC is vertical at the natural rate because expected inflation adjusts in the long run. The short-run Phillips curve shows that lower unemployment is associated with higher inflation, and higher unemployment is associated with lower inflation.



HOW TO RECOGNIZE IT

- A short-run tradeoff between inflation and unemployment.
- Higher AD raises output and prices, which maps to lower unemployment and higher inflation.
- The short-run Phillips curve shows a trade-off between inflation and unemployment.
- Points A and B lie on the same short-run Phillips curve.

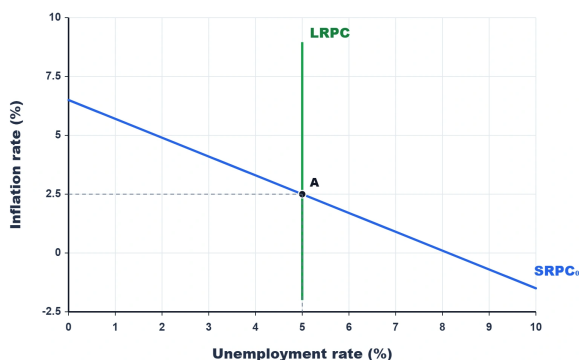


WATCH OUT

Do not confuse the Phillips curve with the AD-AS model. The short-run Phillips curve shows that lower unemployment is associated with higher inflation, and higher unemployment is associated with lower inflation.



WORKED EXAMPLE: MOVEMENT ALONG THE SRPC



Point A is at 5 percent unemployment and 2.5 percent inflation. The horizontal guide through point A hits the inflation axis at 2.5 percent. Therefore, 2.5 percent. A downward-sloping SRPC shows an inverse short-run relationship: less unemployment comes with more inflation.



CHECK YOURSELF

On a Phillips graph, moving upward and left along one SRPC means what?

**READY?**

Return to the game and master this concept.